

Lease Buy-out Procedure

1. Lease buy-out agreements allow a tenant to cancel their lease with 30 days' notice and must be executed on the 1st of any month. This option allows tenants to cancel their lease early but leave in good standing.
2. The tenant must sign the buy-out agreement and pay a minimum of ½ of the buy-out fee to the office before the first day of a given month. Once the buy-out agreement is signed, charge the resident the full buy-out fee in AppFolio. This fee is not subject to late fees in AppFolio.
3. On the move-out date, the keys must be turned into the office. The remainder of any outstanding buyout fee is due along with a forwarding address for security deposit.
4. The security deposit may not be used as part of the buy-out fee. The tenant's security deposit, less any applicable deductions, must be mailed to the given forwarding address within state requirements from the move-out date.
5. The buy-out fee is an amount equivalent to two months' rent. This is considered a fee paid by the tenant to cancel the current lease agreement. **This must be paid with Certified Funds.**

Example: A tenant, with a rent of \$700.00, gives a notice to buy-out of their lease on May 31st. Their move-out date will be June 30th. The tenant must pay by June 1st, June's rent (\$700) plus minimally ½ the buy-out fee (\$700), a total of \$1400. By June 30th, the tenant needs to pay any remaining balance of the buy-out fee (\$700) and turn in their keys and a forwarding address form that the security deposit will be mailed to.

****For approved applicants that signed a lease agreement and did not move into their apartment, there is a different buyout addendum option. This buyout addendum option is called the "Cancelled Move In Lease Buyout." The procedure for the "Cancelled Move In Lease Buyout" is located in the "AppFolio Lease Adjustment Procedure" on the Axiom Portal.*